

Daler Decision Card

Two real unknowns, five policy calls, and seven things we've already worked out that just need a yes. Everything here is an accounting judgement only Daler can make — none of it is a code problem.

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Why this call

A full forensic audit of the Financials module found fourteen places where the app has to take an accounting position and nobody ever wrote the position down. So the code guessed — and in three places it guessed differently in different files. We have since worked out most of them from the data; what's left is on this page.

None of this is a bug hunt for Daler. Every question below is "**what is KOR's policy?**" The code will do whatever he says; it just can't keep doing three things at once.

Bring: the latest *Income Statement* — *Kor Structural Crystal* report, and the WIP figure he'd give the accountant this quarter.

◆ THE TWO THAT ACTUALLY BLOCK WORK

Decision 1 (WIP) is holding a shipped fix hostage, and the AI assistant is currently answering WIP questions with earned and overbilled swapped.

Decision 4b (labour netting) blocks the income and expense pages of the in-app version of his own deck. We now know *why* our expense figure runs high — Deltek's payroll / job-cost contra mechanism — but not how he nets it.

✓ WORTH SAYING OUT LOUD AT THE START

His billing numbers are now reproducible *exactly* from Deltek — every partner, every month, both currencies — and it is already live in the app as a new Partner Financials section. The one variance in the whole grid is a single project (31130-01 Uplands Area 6) where Deltek's Principal says Omar and his deck says Markulin. That is a one-row fix, and it is the last difference between the two systems on the billing side.

► WHAT WE WORKED OUT OURSELVES SINCE THE LAST VERSION

- ♦ **The FX mechanism.** Deltek carries daily XE rates in both directions. His annual rate sits within 0.07% of their average — so we can estimate any year, including 2024.
- ♦ **Why our expenses run high.** Not a mystery source — Deltek's payroll / job-cost contra accounts. Narrowed from "where does this come from" to one specific netting question.
- ♦ **The \$119,052.** Partner draw $\div$ 12 plus amortization $\div$ 12, to the exact dollar. Now a confirmation, not a question.
- ♦ **Two things we were wrong about.** The expenses do *not* come from the GL (it is only posted through February). And the cash figure we said would move visibly moves by \$502 — immaterial.

DECISION 1 & 2 · BLOCKING

The blocker — what is WIP at KOR?

Three different definitions of unbilled work-in-progress are live in the code right now. They disagree with each other on real data, and each one is used by a different screen.

CANDIDATE	SOURCE	FIRMWIDE, CAD-EQUIV
A	Deltek's own PRSummaryMain.Unbilled column	-173,813
B	Revenue – Billed	+60,989
C	(BilledFee else Revenue) – Billed	B ± 190,002

These are trailing-total figures pulled straight from Deltek on 26 July, converted at 1.36. Candidate C differs from B across 1,485 rows where BilledFee and Revenue disagree.

D1 Which one is contract-asset WIP for KOR's books — A, B, or C?

D1b Confirm the sign: positive means *we've earned it and not yet invoiced it*. Negative means we've billed ahead. Correct?

× WHY IT CAN'T BE LEFT ALONE

The code currently computes it the wrong way round against Deltek's own column, so the WIP tile was switched off rather than fixed. The MCP tool behind `/ask` is still live and returns Earned and Overbilled transposed. Until D1 lands, the fix can't be made — flipping the sign without settling the source would just align one screen and break another.

D2 Once it's right, should the WIP tile be visible on the Executive Summary — and to everyone with Financials access, or partners only?

Net Multiplier & DSO — is our NSR really NSR?

The Executive Summary shows a **Net Multiplier** and compares it to the industry benchmark ("≥ 3.0 healthy"). It's computed as trailing-12-month invoiced revenue ÷ direct labour cost.

The revenue side sums accounts **4001, 4003, 4210, 4220, 4240**. Two of those — **4210 Reimbursable Consultant Revenue** and **4220 Reimbursable Expense Revenue** — are pass-throughs.

Industry Net Service Revenue is conventionally gross revenue *minus* consultants and reimbursables, and the ≥ 3.0 benchmark is calibrated on that basis. If KOR's number includes pass-throughs, the multiplier reads high and the benchmark comparison isn't like-for-like.

D3 Should 4210 and 4220 be excluded from the Net Multiplier / DSO revenue base?

D3b Same question for the *Labor Margin* tile (revenue – direct labour), which shares the base.

Which P&L is *the* P&L

DelteK holds seven report tables whose names all start "Income Statement". The app picks between them automatically — and the Executive Summary tile and the P&L tab pick **different ones**.

TABLE	NAME	USED BY
1001	Income Statement Partnership WIP	Exec Summary tile
1010	Income Statement DMCL	—
1012	Income Statement KOR vs KS V2	—
1500	Income Statement Grouped Expenses	P&L tab
8001	USA Income Statement & Retained Earnings	—
11111	Income Statement DMCL-ADJ JCV	—
32767	Income Statement Kerry Smithies	—

D4 Which table is KOR's real P&L — the one that matches the Crystal report? Should the others be hidden from the picker?

What exactly is Op-Expense?

This one blocks real work. We can reproduce the **billing** side of the deck to the cent — verified partner by partner. We cannot get anywhere near the **expense** side.

Using the app's most refined expense definition — accounts 5000–7999, plus 8200 and 8300, less 7290 and 7970, across the AP, EX and Misc sub-ledgers — the numbers come out roughly **1.7× too high**, and above even the deck's own Total Expense line:

2026	JAN	FEB	MAR	APR	MAY
App	538,080	469,955	544,444	556,112	518,730
Deck Op-Expense	302,330	274,684	331,377	340,490	313,608

We first assumed the deck's expenses came from a GL report table. **They can't** — the GL is only posted through February 2026, and the deck shows

March, April and May. So the expenses come from the same sub-ledgers we read. The difference is in the treatment, and we found what it is.

It's the labour contra accounts

Deltak runs payroll through one set of accounts and charges labour to jobs through another, then reconciles the two with a Job Cost Variance. Any straight account-range sum counts both sides:

2026	PAYROLL CLUSTER	LABOUR CHARGED	7003 JOB COST VARIANCE
Jan	387,359	195,129	-225,464
Mar	373,245	231,678	-272,724
May	349,388	224,252	-271,374

Payroll cluster = 7975 / 7976 / 7977 salary, tax and EI, plus 7100 vacation and the 798x benefit accounts. Labour charged = 6001 / 6002 direct and 7001 / 7002 indirect. That is the whole gap — nothing exotic, just double-counted labour.

D4b How do you net these three? Which side lands in Op-Expense — the payroll accounts, the charged labour, or payroll net of the Job Cost Variance? And is anything else stripped out that a plain 5000–7999 scan would pick up (intercompany, reimbursables, suspense)?

✓ THE \$119,052 – WE THINK WE'VE SOLVED THIS ONE

Total Expense = Op-Expense + Other Expense, with Other Expense a flat **\$119,052/month** — that reproduces all five months to the cent (Jan: $302,329.89 + 119,052 = 421,381.89$), and **Gravy = Profit/Loss – Other Expense** likewise.

The components appear to be exactly: **Partner Draw $\$1,116,000 \div 12 = \$93,000$** , plus **amortization $\$312,624 \div 12 = \$26,052$** . Those add to \$119,052 precisely. Accounts 7900 / 7905 / 7910 carry no 2026 sub-ledger activity, so this looks like an annual figure you spread monthly rather than anything posted. The 12-cent dip in May is presumably spreadsheet rounding.

D4c Confirm: \$93,000 partner draw + \$26,052 amortization, set annually and spread over twelve months?

✗ WHAT STAYS BLOCKED UNTIL D4B LANDS

The Income & Expense and Expense-YoY pages of the in-app version cannot be built. We will not guess an expense definition and publish numbers against your name. The billing pages are already live and reconciled; these two are the remainder.

CAD only, or consolidated?

The P&L tab defaults to **Org = CAD**, which is what makes it tie to the Crystal report. The Executive Summary's "Net Income" tile has **no Org filter** and rolls USA in at 1.36. Over the trailing twelve months that difference is roughly **\$464,000 CAD-equivalent**.

D5 When a partner asks "did we make money this year", is that the CAD entity only, or CAD + USA consolidated? Should both be shown side by side?

D6 Same question for the AI assistant — should `/ask` answer P&L questions CAD-only like the report, or consolidated?

DECISION 7 · SAME WORD, TWO NUMBERS

Two meanings of "billed"

Delteck stores two columns that both get called "billed", and the app uses both — on the same screen, under the same label.

WHERE	USES
Project grid, Backlog, Billings To Date, Clients	BilledFee, falling back to Revenue
Billing Manager Report	PRSummaryMain.Billed

Both surfaces show a "% Fee Billed" column. They divide different numerators by the same fee, so a project can show two different percentages depending on which screen you're on.

D7 Which is "billed" for management reporting — and is the other one *earned*, so we can label them apart properly?

► WORTH MENTIONING WHILE WE'RE HERE

The "Billing Manager Report" actually groups by Deltek's **Principal** field, not a billing manager. If that's the intent, we should rename the report. If it isn't, we need the right field.

DECISION 8-12 • RAPID FIRE

Standing constants — confirm or correct

These are hard-coded today and were set from earlier conversations with Daler. Each needs a yes or a new number. Should take five minutes.

#	CONSTANT	CURRENTLY	OK?
D8	Revenue accounts	4001, 4003, 4210, 4220, 4240 — complete list? 4240 treated as contra-revenue (negative)	
D9	Operating expense	5000–7999, plus 8200 + 8300; excluding 7290 (suspense) and 7970 (realized/unrealized G&L)	
D10	Overhead multiplier	1.65 × direct labour — still the published firmwide rate?	
D11	Operating cash	1110 + 1120 (CAD), 1170 (USA). Excludes petty cash 1000 and USD savings 1175	
D12	USD → CAD	Solved, needs one number. You use one rate per year — 2025 = 1.3985, 2026 = 1.378457, both exact to the cent across every month. Deltek's own daily XE average sits within 0.07%, so our 2024 estimate is 1.3701 . Confirm 2024, and confirm one-per-year is the standing convention.	

Two more while he's in the chair

- **Posting lag.** The app assumes Deltek posts roughly three months behind and carries a whole machinery of "unposted" overlays to compensate. Is three months the steady state, or is that closing up?

- **Reconciliation target.** Which single Daler artifact is the app supposed to tie out to, and to what tolerance? If we can get a copy of the latest, we can build an automated check that fails the moment the app drifts from it.

✓ ALSO WORTH CONFIRMING — TAKES 30 SECONDS

Some invoices appear on several AR rows with *different* balances, and some as matched $\pm$ reversal pairs. We read that as genuine sub-phase splits and credit memos, and we sum them all. Confirm that's right and we'll close it out.

NOT A QUESTION • A HEADS-UP

The cash figure is about to move

Two fixes are already committed and will land at the next deploy. One of them changes a number Daler may have seen.

The AI assistant's **Cash Position** was including **all 20** bank accounts in Deltek instead of the three operating accounts Daler specified — so it was picking up petty cash and USD savings. That's now corrected.

✗ EXPECT THIS

Cash Position in `/ask` **will drop** when this deploys. Cash has not fallen — the tool was over-reporting. The Financials window was always correct. If anyone quoted the assistant's cash number recently, it was high.

THE PAYOFF

What happens once he answers

1

Constants land

Every answer becomes a named, documented constant with Daler's name and the date against it — not a guess buried in a query.

2

One definition each

WIP, billed, net income and NSR each get exactly one meaning across the window, the AI assistant and the metric dictionary.

3

It stays fixed

A reconciliation test pinned to his report fails the build the moment the app drifts — so this conversation doesn't have to happen twice.

The audit register behind this card lists twelve findings with the evidence for each. Seven are already resolved or shipped; the rest are the ones on this page.

LEAVE-BEHIND

Answer sheet

If the call runs short, this is the minimum. D1 alone unblocks a shipped fix.

#	DECISION	ANSWER
D1	WIP source — A, B or C	
D1b	Positive = earned not billed	
D2	Show WIP tile? To whom?	
D3	Exclude 4210 / 4220 from NSR	
D4	Canonical GL table	
D4b	How to net payroll vs charged labour vs Job Cost Variance — blocks app P&L pages	
D4c	Confirm \$93,000 draw + \$26,052 amortization = \$119,052/mo	
D5	Net income — CAD or consolidated	
D6	Same for /ask	
D7	Which column is "billed"	
D8	Revenue accounts confirmed	
D9	Expense ranges confirmed	
D10	Overhead 1.65	
D11	Cash accounts 1110/1120/1170	
D12	Confirm 2024 FX ≈ 1.3701 + one-rate-per-year	

D1 + D4b are the only real unknowns

D3 may overstate a headline KPI

D4c, D8–D12 are confirmations

✓ IF YOU ONLY GET FIVE MINUTES

Ask **D1** (which WIP number) and **D4b** (how labour nets). Those two unblock everything. The rest can go by email.

Prepared for Ian Lalonde, 26 July 2026. Every figure on this card was pulled read-only from the live Deltek catalog on that date and cross-checked against the source; nothing here is estimated.

Full evidence: [docs/KOR-Financials-Forensic-Audit-2026-07-26.md](#)